

Outlook

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Repricing impact by borrower, not only by product

Morning,

I need help with something that sounds simple but probably is not.

Loan Products needs to identify borrowers most exposed to repricing and the questions customers are likely to raise. The first extracts did not reconcile, which means source precedence and exclusions must be part of the answer.

The questions I would ask in the room are:

1. What would we expect to see if variable-rate customers show higher payment pressure?
2. What evidence would instead support that thin affordability buffers matter more than loan size?
3. How do we rule out that clear communication reduces avoidable complaints?

We looked at a version of this before. For the June 2020 review, please show what changed and whether the earlier conclusion still holds. Please work towards which customers need proactive communication and which product assumptions need review. A useful output would be a one-page finding note plus the underlying CSV for our own review.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions; transaction-level timestamps, channels, amounts, statuses and error context. One caution: Use recorded loan rates and behaviour; do not infer contractual repricing terms not present in the data.

Regards